# Type MS · Calculating the provision for irrecoverable debts

## Answer 1 of 9 · Question 13 part b · 3 marks

2024 JUN · Paper 01 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **13 (a)** | **Award marks as indicated for correct account and amount in combination.** | **(2)** |

| Date 2024 | Account | Debit | Credit |
|---|---|---|---|
| March 31 | Irrecoverable debts | 450 **(1)** | |
| | Trade receivables ledger control account | | 450 **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **13 (b)** | **Award marks as indicated**<br><br>$73 **(2)** Decrease **(1)**<br>$55 **(1)** Decrease **(1)**<br>Decrease **(1)** | **(3)** |

**TOTAL FOR QUESTION 13 = 5 MARKS**

Type MS · Calculating the provision for irrecoverable debts

Answer 2 of 9 · Question 13 part a · 1 mark

2019 JUN · Paper 01 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **13(a)** | **Award 1 mark as indicated.**<br>$1 500 **(1)** | **(1)** |

| Question number | Answer AO2(4) | Mark |
|---|---|---|
| 13(b) | **Award 1 mark for correct date, details and amounts in combination.** | (4) |

**Provision for Irrecoverable Debts Account**

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 31 March 2019 | Balance c/d | 1 500 | 1 April 2018 | Balance b/d | 1 250 **(1)** |
| | | | 31 March 2019 | Income statement | 250 **(1of)** |
| | | 1 500 | | | 1 500 |
| | | | 1 April 2019 | Balance b/d | 1 500 **(2/1of)** |

**TOTAL FOR QUESTION 13 = 5 MARKS**

Type MS · Calculating the provision for irrecoverable debts

Answer 3 of 9 · Question 13 part a · 2 marks

2020 JAN · Paper 01 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **13 (a)** | **Award marks as indicated.**<br><br>$938 **(2) W**<br><br>**W**<br><br>$\begin{array}{lr} & \$ \\ \text{Trade receivables} & 23\,620 \\ \text{Irrecoverable debt} & \underline{(170)} \\ & 23\,450 \end{array}$ **(1)** x 4% = $938 **(1of)** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| **13 (b)** | **Award marks for each correct date, detail and amount in combination on the correct side.**<br>**Irrecoverable Debts Account** | **(3)** |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2019 Oct 31 | Income statement | 27 **(1of)** | 2018 Nov 1 | Balance b/d | 965 **(1)** |
| 31 | Balance c/d | 938 | | | |
| | | 965 | | | 965 |
| | | | 2019 Nov 1 | Balance b/d | 938 **(1of)** |

**TOTAL FOR QUESTION 13 = 5 MARKS**

## Type MS · Calculating the provision for irrecoverable debts

Answer 4 of 9 · Question 13 part b · 2 marks

2020 NOV · Paper 01 (regional R) · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **13 (a)** | **Award 1 mark for each correct entry.**<br>**Award 1 mark for correct narrative.**<br><br>**Journal**<br><br>**Date** / **Details** / **Debit $** / **Credit $**<br>30 April 2020 / Irrecoverable debts / 1 600 **(1)** / <br>/ Trade receivables ledger control account / / 1 600 **(1)**<br>/ Being the write-off of an irrecoverable debt **(1)** | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| **13 (b)** | **Award marks as indicated**<br><br>$56 600 **(1)** x 5% = $2 830 **(1of)** | **(2)** |

## Type MS · Calculating the provision for irrecoverable debts

Answer 5 of 9 · Question 17 part c · 2 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17 (a)** | **Award marks as indicated.**<br><br>**Account** / **Debit** / **Credit**<br>Trade receivables control / ✓ **(1)**<br>Irrecoverable debts / ✓ **(1)** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (b)** | **Award marks as indicated.**<br><br>Prudence **(1)**<br>Accruals or matching **(1)** | **(2)** |

Type MS · Calculating the provision for irrecoverable debts

Answer 5 of 9 · Question 17 part c · 2 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **17 (c)** | **Award marks as indicated.**<br><br>**$**<br>Net trade receivables 42 140 **(1)**<br>X 5%<br>Provision at 29 February 2020 2 107 **(1of)** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (d)** | **Award 1 mark for figures plus 1 mark for correct dates and details.**<br><br>**Provision for Irrecoverable Debts Account** | **(4)** |

| Date | Details | $ | Date | Details | $ |
|---|---|---|---|---|---|
| 2020 Feb 29 | Balance c/d | 2 107 | 2019 Mar 1 | Balance b/d | 1 845 **(1)** |
| | | | 2020 Feb 29 | Income statement | 262 **(1of)** |
| | | 2 107 | | | 2 107 |
| | | | Mar 1 | Balance b/d | 2 107 **(1of)** |

| Question Number | Answer | Mark |
|---|---|---|
| **17 (e)** | **Award up to 4 marks for comments related to the reasons why it is necessary for a business to create a provision for irrecoverable debts and 1 mark for conclusion.**<br><br>**For example**<br>A business should create a provision because some amounts owing will not be received **(1)**. The effect of this will be to overstate profit for the year and trade receivables in the financial statements **(1).**<br>This enables a business to make informed decisions **(1)** by anticipating possible future losses as soon as they become aware of them **(1).**<br>Overall, the business will benefit from the introduction of this provision **(1).**<br><br>**Accept any other appropriate responses.** | **(5)** |

## Type MS · Calculating the provision for irrecoverable debts

Answer 6 of 9 · Question 12 part b · 2 marks

2021 NOV · Paper 01 · find part b in this mark scheme extract

**12(a)** **Award marks as indicated for correct account and amount in combination.**

| Date | Account | Debit $ | Credit $ |
|---|---|---|---|
| 30/09/20 | Irrecoverable debts | 730 **(1)** | |
| | Trade receivables ledger control | | 730 **(1)** |

**(2)**

| Question number | Answer | Mark |
|---|---|---|
| 12(b) | **Award marks as indicated.**<br>$311 **(2) W**<br>**W**<br>$1 946 **(1)** – $1 635 = $311 **(1of)** | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 12(c) | **Award mark as indicated.**<br>Current assets **(1)** | **(1)** |

**TOTAL FOR QUESTION 12 = 5 MARKS**

Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>4% **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>$20 750 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award mark as indicated.**<br><br>$830 **(1of)** | **(1)** |

Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(iii)** | **Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**<br><br>**Provision for Irrecoverable Debts Account**<br><br>**Date** / **Details** / **$** / **Date** / **Details** / **$**<br>30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)**<br>30 April / Income statement **(1)** / 86 **(1)**<br>830 / 830<br>1 May / Balance b/d / 830 **(1of)** | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award marks as indicated.**<br><br>**Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities**<br>Provision for depreciation / ✓ **(1)**<br>Provision for irrecoverable debts / ✓ **(1)** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award 1 mark for identification and up to 2 marks for development.**<br><br>**Sample answer**<br><br>Prudence concept states profits/assets should not be overstated **(1)**<br><br>Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)**<br><br>**Accept any other appropriate responses.** | **(3)** |

## Type MS · Calculating the provision for irrecoverable debts

Answer 7 of 9 · Question 18 part b · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part b in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(f)** | **Award mark as indicated. Max 1 mark.**<br>Cash sales only **(1)**<br>Strict credit control **(1)**<br>**Accept any other appropriate response.** | **(1)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Calculating the provision for irrecoverable debts

Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part c.i in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>4% **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>$20 750 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award mark as indicated.**<br><br>$830 **(1of)** | **(1)** |

## Type MS · Calculating the provision for irrecoverable debts

### Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part c.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(iii)** | **Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**<br><br>**Provision for Irrecoverable Debts Account**<br><br>**Date** / **Details** / **$** / **Date** / **Details** / **$**<br>30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)**<br> / / / 30 April / Income statement **(1)** / 86 **(1)**<br> / / 830 / / / 830<br> / / / 1 May / Balance b/d / 830 **(1of)** | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award marks as indicated.**<br><br>**Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities**<br>Provision for depreciation / ✓ **(1)** / / / <br>Provision for irrecoverable debts / / ✓ **(1)** / / | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award 1 mark for identification and up to 2 marks for development.**<br><br>**Sample answer**<br><br>Prudence concept states profits/assets should not be overstated **(1)**<br><br>Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)**<br><br>**Accept any other appropriate responses.** | **(3)** |

## Type MS · Calculating the provision for irrecoverable debts

### Answer 8 of 9 · Question 18 part c.i · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part c.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(f)** | **Award mark as indicated. Max 1 mark.**<br>Cash sales only **(1)**<br>Strict credit control **(1)**<br>**Accept any other appropriate response.** | **(1)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**

Type MS · Calculating the provision for irrecoverable debts

Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part c.ii in this mark scheme extract

| | | |
|---|---|---|
| **18(a)** | **Award marks as indicated.**<br><br>An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)**<br><br>**Accept any other appropriate responses** | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(b)** | **Award mark as indicated.**<br><br>4% **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(i)** | **Award mark as indicated.**<br><br>$20 750 **(1)** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(ii)** | **Award mark as indicated.**<br><br>$830 **(1of)** | **(1)** |

## Type MS · Calculating the provision for irrecoverable debts

### Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part c.ii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(c)(iii)** | **Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**<br><br>**Provision for Irrecoverable Debts Account**<br><br>**Date** / **Details** / **$** / **Date** / **Details** / **$**<br>30 April / Balance c/d / 830 / 1 May / Balance b/d / 744 **(1)**<br> / / / 30 April / Income statement **(1)** / 86 **(1)**<br> / / 830 / / / 830<br> / / / 1 May / Balance b/d / 830 **(1of)** | **(4)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(d)** | **Award marks as indicated.**<br><br>**Account** / **Non-current assets** / **Current assets** / **Non-current liabilities** / **Current liabilities**<br>Provision for depreciation / ✓ **(1)** / / / <br>Provision for irrecoverable debts / / ✓ **(1)** / / | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **18(e)** | **Award 1 mark for identification and up to 2 marks for development.**<br><br>**Sample answer**<br><br>Prudence concept states profits/assets should not be overstated **(1)**<br><br>Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)**<br><br>**Accept any other appropriate responses.** | **(3)** |

## Type MS · Calculating the provision for irrecoverable debts

Answer 9 of 9 · Question 18 part c.ii · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part c.ii in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **18(f)** | **Award mark as indicated. Max 1 mark.**<br>Cash sales only **(1)**<br>Strict credit control **(1)**<br>**Accept any other appropriate response.** | **(1)** |

**TOTAL FOR QUESTION 18 = 15 MARKS**